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26STCV01720

Petition of J.G. Wentworth Originations, LLC and Carmen Todd

Tuesday,

June 23, 2026

[TENTATIVE] ORDER

DENYING AMENDED PETITION FOR APPROVAL FOR TRANSFER OF PAYMENT RIGHTS

Real party in interest, Carmen Todd, settled

a prior personal injury action that entitled Ms. Todd to periodic structured

payments in settlement of an underlying personal injury claim for wrongful

death.

Ms.

Todd agreed to transfer eight semiannual payments of $7,500 each (total $60,000)

in exchange for $41,000. Petitioner states that the discounted present value of

those payments is $54,477.64.

Ms.

Todd is 19 years old, single, unemployed, and declares she is experiencing financial hardship. She intends to buy a used vehicle for $20,000-$30,000 and pay a student debt loan of $10,000. The remaining $2,000 will be applied toward overdue rent "to help bring my housing expenses current and improve my financial stability." (Payee decl.) This differs from the petition which states funds will be used to purchase a vehicle, rent an apartment, and cover living expenses. (Verified Pet. 4:11-16.)

California

Insurance Code section 10139.5 provides that a transfer of structured settlement payment rights is not effective unless the transfer has been approved in advance in a final court order based on express findings. (RSL Funding, LLC v. Alford (2015) 239 Cal.App.4th 741, 745 ["The California

Legislature has adopted the Structured Settlement Protection Act (SSPA) (§ 10134 et seq.) to protect structured settlement payees from exploitation by factoring companies. "].)

The court determines whether the transfer

is reasonable and in the best interest of the transferor based on the "totality of circumstances" including, but not limited to:

(1) the reasonable

preference and desire of the payee to complete the proposed transaction, taking into account the payee's age, mental capacity, legal knowledge, and apparent maturity level;

(2) the stated purpose of the transfer;

(3) the payee's financial and economic situation;

(4) the terms of the transaction, including whether the payee is transferring monthly or lump sum payments or all or a portion of his or her future payments; [two remaining lump sum payments]

(5) whether the future periodic payments were intended to pay for future medical care of the payee related to the incident that was the subject of the settlement;

(6) whether the payee has other means of income or support sufficient to meet the payee's future financial obligations for support of payee's dependents, such as child support;

(7) whether there were previous transactions involving payee's structured settlement payments; and

(8) whether the payee and his or her dependents

are facing a hardship situation.” (Ins. Code, § 10139.5(b).)

Berkshire Hathaway Life Insurance Company of Nebraska, an interested party who issued the annuity (“Berkshire”), filed its response on June 4, 2026, pointing out the defects in the verified petition including the “inexplicable” waiver of assistance of an independent professional adviser, which Petitioner would be obligated to pay. (Response 2:11-13.)

As noted by Berkshire, Petitioner did not provide a copy of a qualified assignment agreement if available or a copy of the underlying structured settlement agreement. Petitioner did not provide the underlying settlement and release which Petitioner is obligated to provide. If it is not able to do so, Petitioner must satisfy the court that a reasonable effort to locate and secure copies of the documents have been made. (Ins. Code, § 10139.5.) Petitioner has not demonstrated that it made reasonable efforts.

Petitioner did not provide the underlying settlement and release on grounds of confidentiality. (Am. Pet. 5: 27-28.) Berkshire states it released those documents to the payee. If the settlement agreement is unavailable, Petitioner must “summarize in the petition the payments due and owing to the payee, and, if requested by the court, shall provide copies of the documents to the court at a scheduled hearing." (Id. subd. (f)(2)(H).)

There is insufficient information for the court to conclude that the transfer is reasonable. Ms. Todd subsequently filed a declaration that does not describe her current living arrangements or future plans for employment or education, nor does she describe the “hardship” she is currently experiencing.

Given Ms. Todd’s age and inexperience, the court will defer a ruling until Ms. Todd obtains independent legal or financial advice regarding the transaction. (Ins. Code § 10139.5 (b)(14.) [“The court may deny or defer ruling on the petition for approval of a transfer of structured settlement payment rights if the court believes that the payee does not fully understand the proposed transaction and that independent legal or financial advice regarding the transaction should be obtained by the payee."].

Moreover, Berkshire has its own program to purchase future payments at a discount rate significantly lower than that proposed by Petitioner. Berkshire’s program would permit $11,000 more for the sale of the same scheduled annuities. Without independent advice, the court cannot determine if the transfer is in Ms. Todd’s best interests or if there are other programs that would be more beneficial to Ms. Todd.

Accordingly, the court denies the petition as it is incomplete, as noted above. Prior to submitting an amended petition, Ms. Todd should consult independent legal or financial advice, for which Petitioner agreed to pay up to $1,500. (Ex. A, .pdf 23.)